Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2021
Question: Effective Tax Rate
Include Modeled Scores : Yes

Effective Tax Rate

Question

Does the company report the tax rate (income statement) and cash tax rate (cash flow statement) for the last two financial years?

Rationale

This question aims to assess whether a company's tax rate may be unsustainable in a global context, based on the reported tax rate and cash tax rate for the last two years. Governments around the world have been increasingly critical of base erosion and profit shifting (BEPS) which enables tax avoidance through the exploitation of gaps and mismatches in tax rules, allowing companies to shift profits to low or no-tax jurisdictions. Some of the resulting corporate structures and agreements with local governments may be drawn up in a legally sound way, while others may not, even if they may currently appear so. Long term financial risks can also develop from arrangements that are later determined to be eroding the tax base of other countries or provide an unfair subsidy. These arrangements may be deemed illegal, and fines and penalties imposed, or new regulations may be implemented which raise the tax

The OECD commenced the BEPS project in 2015 to address these issues and the EU has been aggressive in targeting companies and countries that it believes have illegal agreements, for example those in violation of state aid rules. More recently, the European Commission announced in March 2018 that it has proposed: 1) to reform corporate tax rules so that profits are registered and taxed where businesses have significant interaction with users through digital channels; and 2) an interim tax on certain revenues from digital activities. We expect this type of cooperation and regulation to continue, targeting companies and countries with low tax rates, and removing the loopholes and agreements that allow companies to operate with relatively low rates in the long term. In addition to the regulatory developments listed above, consumers (and voters) are becoming increasingly aware of companies that pursue

Performance Summary	
Question Level Company Performance	
Question Weight	
Year-on-Year Change	
Industry Average Score	
Industry Highest Score	

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

▼ Additional Question Guidance & Information Display

Key Definitions

Tax rate: The percentage at which an individual or a corporation is taxed.

Reported taxes: The amount of taxes imposed to an organization as this is reported on the income statement.

Cash taxes: The amount of taxes paid to governmental authorities as indicated in the cash flow statement of that fiscal year.

- For example, for FY 2018 please provide all cash taxes paid during FY 2018, regardless of the period the tax liability arose in.

Tax amount: (in table explaining low taxes) if the taxes reported or paid in cash are lower than expected, companies may have non-recurring items (e.g., net operating losses from acquired companies, major write-offs that cause temporary losses, tax settlement, etc.) that explain the low rate. The tax amount entered into the table is the amount of tax that should be added back to the reported or cash tax amounts actually reported, leading to the higher reported tax rate or cash tax rate.

Group-wide net operating losses: "Net operating losses (NOL) are a tax credit created when a company's expenses exceed its revenues, generating negative taxable income as computed for tax purposes. NOL can be used to offset positive taxable income, reducing cash taxes payable. NOL can be carried back 2 years to recover past taxes paid, and forward 20 years to offset taxable income in future periods. After 20 years, any remaining NOL expire and are no longer available for use. NOL carried forward are recorded on the balance sheet as deferred tax assets (DTA)." Source: Macabacus

In the case a company has group-wide losses, there is no associated amount, since there is no income.

Non-recurring (one-time) losses in own operations: Non-recurring (one-time) losses are irregular or infrequent losses (e.g., write-off of a large investment, large settlement or fine) that would offset ongoing income generated.

Net operating losses from acquired companies: This option refers to "taxable acquisitions in which the acquired net assets are stepped-up for tax purposes, the target's net operating losses (NOL) may generally be used immediately by the acquirer to offset the gain on the actual or deemed asset sale." Source: Macabacus

Single jurisdiction tax code: (e.g. low domestic rate and maximum 10% sales abroad) Certain countries (e.g. Ireland) have a low tax rate for companies. Therefore, certain countries will have a lower tax rate than the average in the industry. If your company has more than 90% of sales domestically, this option can be ticked.

Timing – Issues outside of the two years period: This option refers to an event that happened outside of the two years and was carried forward to the two last fiscal years. This could be losses from a company's own operations as described above, or due to a tax deal reached with the government.

The net change in valuation allowance can be accepted as timing issue, provided the specific effect is clearly described in the public reporting.

Data Requirements

Earnings before Tax (EBT) may also be known as Operating Income before Tax or Profit before Tax and is often a unique line item on the income statement. Two years of data are required.

To get a sense of whether your company's "calculated average tax rate and/or cash tax rate is lower than it might be expected by a stakeholder," please review the Average Effective Tax Rate & Cash Tax Rate for each of the 24 GICS® Industry Groups, on page 65 of the CSA Companion.

In order to establish these industry group-specific thresholds, we've updated our original, Bloomberg-based research on the basis of the data we collected via the 2018 Corporate Sustainability Assessment. We took each company's average effective tax rate, and cash tax rate, respectively, and averaged over all the rates reported for that industry group worldwide.

Public disclosure requirements:

Public disclosure of the following items for the last two fiscal years:

- Earnings before tax
- Reported taxes
- Reported tax rate
- Cash taxes paid
- Cash tax rate

As stated in the question text: **completion of the second table of the question is not required**, however, if it is completed, we expect supporting evidence in the public domain.

If any of the following items have been selected, then these should be reported publicly, as well as the corresponding tax impact (if relevant for the selected option):

- Group-wide net operating losses
- Non-recurring (one time) operating losses in own operations
- Net operating losses from acquired companies
- Single jurisdiction tax code (e.g. low domestic rate and maximum 10% sales abroad)
- Timing - issues outside of the two year period reported

References

- Average Effective Tax Rate & Cash Tax Rate for each of the 24 GICS® Industry Groups, please see the CSA Companion, page 60
- Organization for Economic Co-operation and Development (OECD) framework "Base Erosion and Profit Shifting (BEPS)"
- Fair Tax, retrieved from: https://fairtaxmark.net/wp-content/uploads/2014/01/How-Companies-Avoid-Tax.pdf
- Macabacus: http://macabacus.com/taxes/net-operating-loss

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company publicly reports on tax rate and cash tax rate for the last two years	Applicable
Earnings before Tax (2019)	12,108,000,000.000
Earnings before Tax (2020)	16,744,000,000.000
Reported taxes (2019)	4,733,000,000.000
Reported taxes (2020)	6,192,000,000.000
Cumulative adjustments on the basis of the acceptable reasons for a low tax rate (2019)	0.000
Cumulative adjustments on the basis of the acceptable reasons for a low tax rate (2020)	0.000
Average Reported Tax Rate from the last two financial years	37.865659
Cash taxes paid (2019)	3,961,000,000.000
Cash taxes paid (2020)	5,789,000,000.000
Average reported Cash Tax Rate from the last two financial years	33.793151
Group-wide net operating losses	-
Single jurisdiction tax code	-
Non-recurring (one time) operating losses in own operations	-
Non-recurring tax amount (2019)	Not answered
Non-recurring tax amount (2020)	Not answered
Net operating losses from prior periods and/or acquired companies	-
Acquisition losses tax amount (2019)	Not answered
Acquisition losses tax amount (2020)	Not answered
Timing - net deferred tax assets/liabilities and major issues outside of the two-year period reported	-
Timing tax amount (2019)	Not answered
Timing tax amount (2020)	Not answered

Questionnaire

Please complete the following table related to your reported tax rate (income statement) and cash tax rate (cash flow statement) for the last two years. Please indicate where this information is available in your financial reporting.

Additionally, please select (if necessary) why the reported tax rate and/or the cash tax rate might be lower than expected. Please see the information button for additional information.

1. ●

Currency:

Financial Reporting	FY 2019	FY 2020	Calculated Average Rate
Earnings before Tax	12108000000	16744000000	
Reported Taxes	4733000000	6192000000	
Cumulative acceptable adjustments* (see below)	0	0	
Effective Tax Rate (in %)			*Automatic calculation of your Reported Taxes in the two-year period (with adjustments) divided by your Earnings before Tax in the two-year period.* 37.865659
Cash Taxes Paid	3961000000	5789000000	
Cash Tax Rate (in %)			*Automatic calculation of your Cash Taxes Paid in the two-year period divided by your Earnings before Tax in the two-year period.* 33.793151

*Note: If the calculated average tax rate and/or cash tax rate is lower than the industry group averages shared via the information text, please specify the reason why, indicate the tax amount per item and provide explanations in the table below. Please also indicate where this information is available in your **public reporting or corporate website**.

If the aspect *reduced* your tax burden (tax benefit), please indicate the impact as a negative number, however if the aspect *increased* your tax burden (tax expense), please indicate the impact as a positive number. On the basis of the numbers inputted, you will see an autocalculation of the rate above: please double-check that figure to ensure you have reported these aspects with the correct sign.

Reason	Tax Impact FY 2019	Tax Impact FY 2020	Explanation
1. ☐ Group-wide net operating losses (in FY2019 or FY2020)			
1. ☐ Single jurisdiction tax code (maximum 10% sales abroad and domestic corporate income tax rate below the posted industry group average)			
1. ☐ Non-recurring (one time) operating losses in own operations	Not answered	Not answered	
1. ☐ Net operating losses from prior periods and/or acquired companies	Not answered	Not answered	
1. ☐ Timing - net deferred tax assets/liabilities and major issues outside of the two year period reported (including accounting adjustments for prior reporting periods due to major tax policy changes)	Not answered	Not answered	

2. ○

We do not report this information

3. ○

Not applicable. Please provide explanations in the comment box below.

4. ○

Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.